

3.2. INFREQUENT TRADING

With infrequent trading, estimates of risk—volatilities, correlations, and betas—are too low when computed using reported returns.

To illustrate the effect of infrequent trading, consider Figure 13.2. Panel A plots prices of an asset that starts at \$1. Each circle denotes an observation at the end

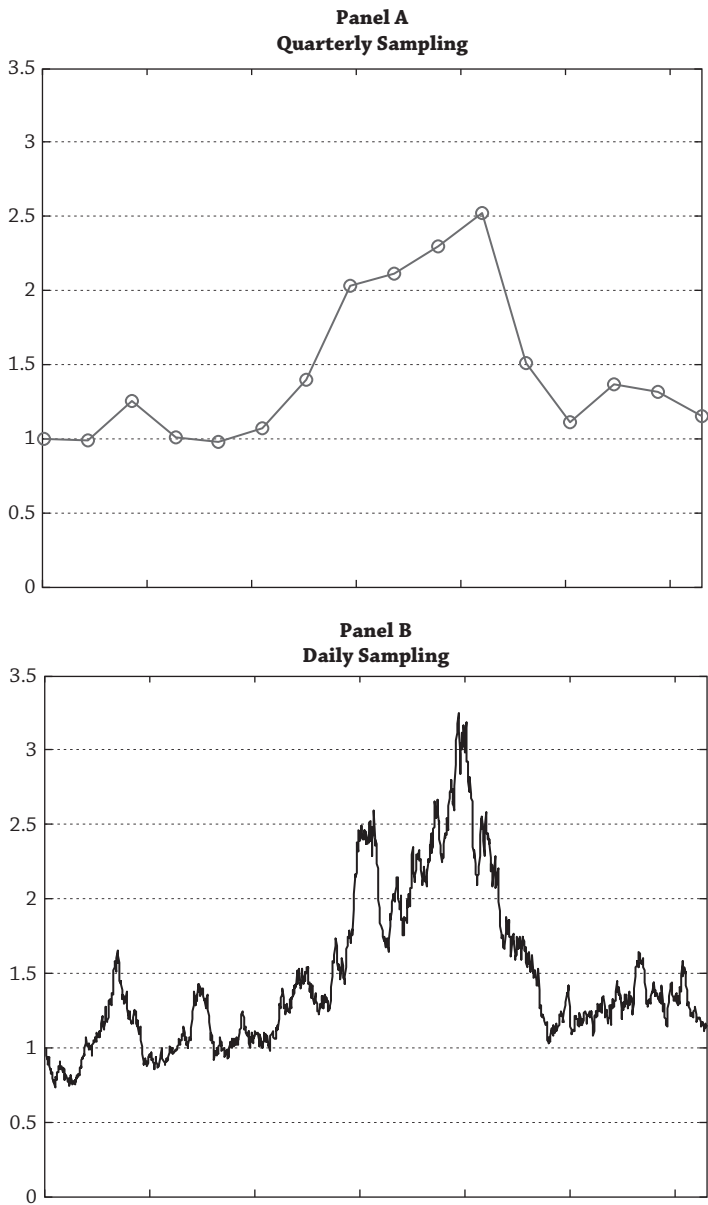


Figure 13.2